## STRATEGIES: RISKS AND OPPORTUNITIES

Anticipated climate change impacts and opportunities include the following:

### 1. Higher costs for energy and water

- We manage rising costs for energy and water through our efficiency programs to protect our tenants, but it is possible that as a result of climate change these costs could increase faster than we can reduce our energy and water use. In particular, California has recently experienced an intense drought, and despite recent increases in precipitation we anticipate severe pricing signals around water use in the short term.
- While we believe we will remain an attractive landlord in comparison to other West Coast landlords, tenants could decide to leave our area entirely for parts of the country where utility costs are lower. To mitigate this risk, we focus on initiatives designed to decrease energy and water costs in our buildings.
- In addition, climate change may cause changes in building energy consumption patterns leading to increased peak demand costs. Our demand response and battery storage initiatives are in place to help mitigate this risk. Similarly, utilities will increasingly change our rate structures to dynamic pricing structures and our ability to shed load on an immediate as-needed basis will help with this risk as well.

### 2. Increased environmental regulation

- We believe we are ahead of our peers in anticipating new energy regulations; for example, because we were prepared, complying with AB 802 was less burdensome for us than certain competitors. We have successfully and proactively influenced new environmental regulation such as the Los Angeles Existing Buildings Energy and Water Efficiency Ordinance and a similar proposed ordinance in Santa Monica. Increased regulation could, however, result in increased costs that motivate some tenants to leave California entirely.
- We do not currently anticipate that the office real estate industry will be regulated by carbon legislation in the short term, though the effects of this legislation on other industries may indirectly affect us through higher energy costs, higher raw materials cost and increased tenant demand for sustainable properties. The increased focus on emissions is why we verify and disclose our Scope 1 and 2 emissions both in this report and to a variety of disclosure platforms such as GRESB, CDP and DJSI and why we committed to establishing carbon neutral operations by the end of 2020 (more information page 29).
- There may be increased government incentives for energy and water conservation and we are well positioned to continue to take advantage of these opportunities.





### 3. Higher costs and more regulation in our supply chain

- Sourcing materials for our buildings could become increasingly expensive and there could be disruptions to the supply chains of our building materials, potentially extending construction times or preventing us from delivering buildings on time. Population migration resulting from climate change could prevent us from being able to source the labor needed to develop and operate our properties.
- Climate change could impact or stress services on which we rely, such as the energy grid, making it more difficult to operate our properties.
- Also, there could be increased permitting restrictions around new construction, potentially around water use or renewables.
- We have experienced development and asset management teams who will be able to mitigate these increases as much as possible. In addition, by committing to sustainable building, we have experienced expedited approvals and community support. Our battery installations can be retrofitted to take buildings off the grid if its reliability becomes compromised.

### 4. Community Impacts

- The communities in which we operate could become increasingly stressed as a result of climate change, disrupting transportation, basic services and the ability of our tenants and employees to maintain current strong levels of productivity. The Building Resilience LA primer will help us preserve business continuity under more strained community conditions.

### 5. Business Impacts

- Because we are so proactive on managing climate change risks, we are able to leverage those efforts by obtaining competitive insurance premiums for our buildings.
- By addressing customer and community sustainability objectives, we can be more successful in our development efforts and win more business.
- Being proactive in our community on sustainability via articles, industry forums and interviews also protects our reputation in our industry.
- We consider the risk of non-delivery of design performance in occupied buildings from climate change to be minimal.
- Because we recognize that as a result of climate change our stakeholders are asking for increased transparency, we have expanded our voluntary disclosure efforts, such as by including more sustainability content in the 10-K aligned with SASB and TCFD and disclosing to the Dow Jones Sustainability Indices in 2017 and 2018.

## 2018 GHG PERFORMANCE

| Office | Absolute Consumption[2] | | | | Like-for-Like Consumption | | |
|---|---|---|---|---|---|---|---|
| | 2017 | 2018 | | | 2017 | 2018 | |
| | Emissions (Tonnes) | Emissions (Tonnes) | Data Coverage (sf) | Max Coverage (sf) | Emissions (Tonnes) | Emissions (Tonnes) | Like-for-Like Change (%) |
| Scope 1[3] | 3,647 | 3,493 | 9,562,939 | 9,672,969 | 3,447 | 3,367 | -2.31% |
| Scope 2 (Location-Based)[4] | 32,335 | 29,095 | 9,562,939 | 9,672,969 | 29,031 | 27,224 | -6.23% |
| Scope 2 (Market-Based)[5] | 31,565 | 26,328 | 9,984,537 | 10,094,567 | 28,262 | 24,456 | -13.47% |

| Life Sciences | Absolute Consumption | | | | Like-for-Like Consumption | | |
|---|---|---|---|---|---|---|---|
| | 2017 | 2018 | | | 2017 | 2018 | |
| | Emissions (Tonnes) | Emissions (Tonnes) | Data Coverage (sf) | Max Coverage (sf) | Emissions (Tonnes) | Emissions (Tonnes) | Like-for-Like Change (%) |
| Scope 1 | 472 | 415 | 421,598 | 421,598 | 472 | 415 | -12.17% |
| Scope 2 (Location-Based) | 4,170 | 4,112 | 421,598 | 421,598 | 4,170 | 4,112 | -1.39% |
| Scope 2 (Market-Based) | 4,170 | 4,112 | 421,598 | 421,598 | 4,170 | 4,112 | -1.39% |

| Whole Portfolio | Absolute Consumption | | | | Like-for-Like Consumption | | |
|---|---|---|---|---|---|---|---|
| | 2017 | 2018 | | | 2017 | 2018 | |
| | Emissions (Tonnes) | Emissions (Tonnes) | Data Coverage (sf) | Max Coverage (sf) | Emissions (Tonnes) | Emissions (Tonnes) | Like-for-Like Change (%) |
| Scope 1 | 4,120 | 3,908 | 9,984,537 | 10,094,567 | 3,919 | 3,782 | -3.50% |
| Scope 2 (Location-Based) | 36,504 | 33,207 | 9,984,537 | 10,094,567 | 33,201 | 31,336 | -5.62% |
| Scope 2 (Market-Based) | 35,735 | 30,439 | 9,984,537 | 10,094,567 | 32,431 | 28,568 | -11.91% |

[2] The absolute portfolio includes all buildings owned for any portion of 1/1/2018-12/31/2018. These assets total 15,410,293 square feet. Of these assets, 62.9% are directly managed office assets and 23.3% are indirectly managed office assets. The remaining 14.0% are life science assets, of which 19.6% are directly managed and 80.4% are indirectly managed. Buildings are excluded from the like for like portfolio if they were bought or sold within the current or previous reporting period, or stabilized in the reporting period.

[3] Scope 1 emissions are related to the natural gas consumption of our directly managed properties. Scope 2 emissions are related to the electricity consumption of our directly managed properties. The energy consumption of our indirectly managed properties is part of our Scope 3 emissions, which are not included in this report.

[4] We utilize the EPA guidelines, via Energy Star Portfolio Manger's Reporting tool, to generate location-based Scope 1 and Scope 2 emissions data. Full details on how Portfolio Manager calculates greenhouse gas emissions can be found here: https://www. energystar. gov/buildings/facility-owners-and-managers/existing-buildings/useportfolio-manager/understand-metrics/how.

[5] We calculate market-based GHG emissions by subtracting the following from our scope 2 location-based emissions: 1) the emissions of any directly-managed building enrolled in a Green-e certified utility program providing a higher proportion of renewable energy and 2) the value of any Green-e certified Renewable Energy Certificates purchased in the reporting year. Green-e® certified renewable energy and carbon offset products meet the most stringent environmental and consumer protection standards in North America. More information is available at www. green-e.org.



# RISK MANAGEMENT

Climate change risks and opportunities include policy, market, technology and reputational concerns and are a focus area for the Board and management. We manage these risks in each stage of the building cycle:

**ACQUISITIONS**

We conduct deep due diligence during the acquisition phase which includes building resiliency, energy and water consumption, building safety and materials, social impacts on the local community, certifications, environmental regulations and risk of disasters such as earthquakes and flooding. This can involve Phase I environmental studies, structural evaluation and property condition reports.

**DEVELOPMENT**

We have longstanding expertise in planning for seismic events by incorporating seismic gas shutoff valves, increased sprinkler seismic bracing and locking sprinkler valves in the open position for relevant projects. We are currently exploring a range of mitigation strategies to cope with potential sea level rise. This includes putting important equipment on risers or relocating it from basements entirely.

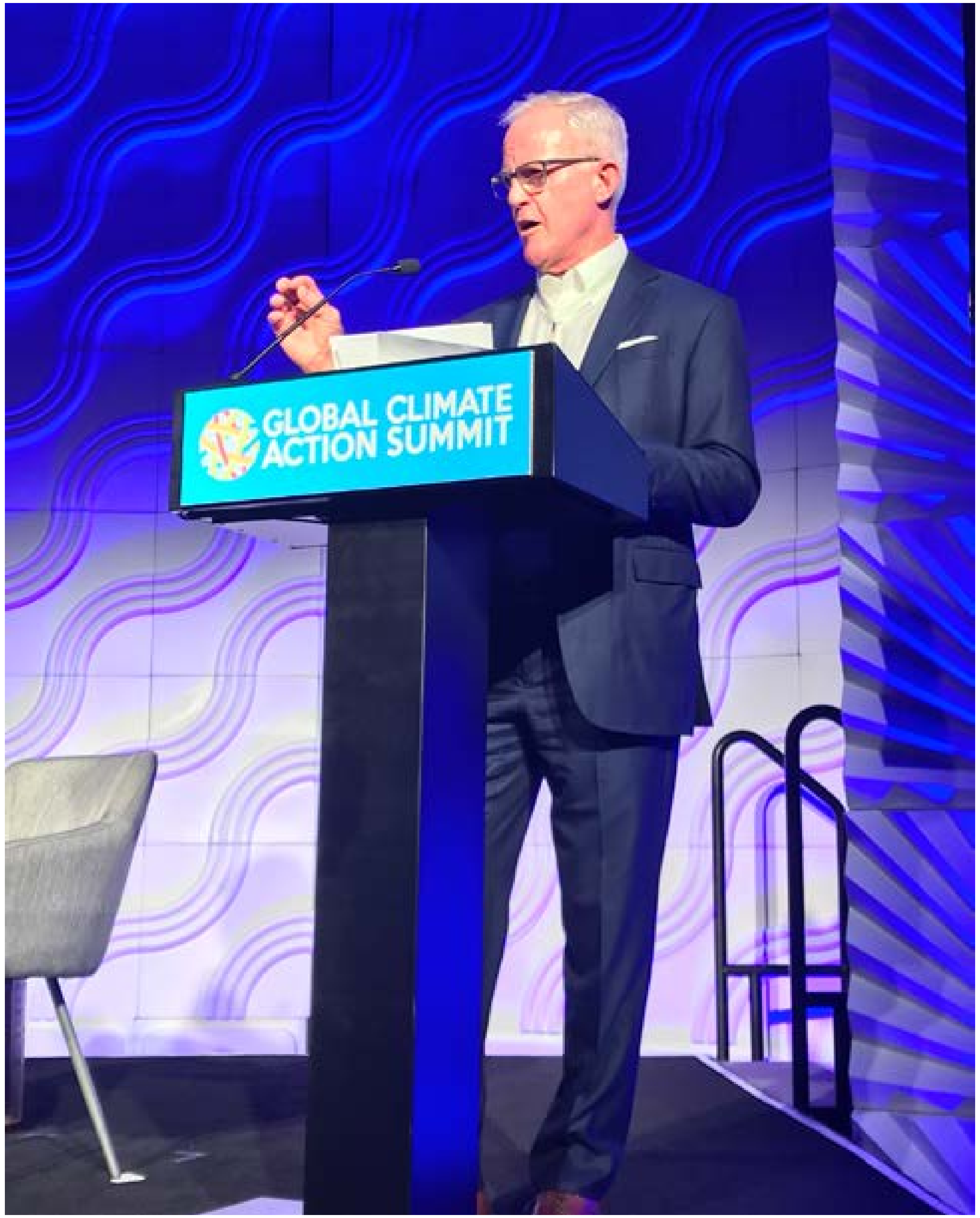
**OPERATIONS**

All of our buildings have Emergency Response Plans that outline a building's response to particular emergency scenarios that incorporate extreme weather due to climate change. We also use a mobile-enabled system to quickly communicate to employees and tenants in the event of an emergency. In addition, though we have no property in a FEMA floodplain, we have benchmarked our buildings for their flood risk under a 10 foot sea level rise scenario, which we believe to be a reasonable result of current 100 year climate change projections. A significant portion of our portfolio would be impacted under this 100 year scenario and our Emergency Response Plans also address flooding risk. In addition, we conduct energy risk assessments through ASHRAE Level II energy audits and retrocommissioning studies.

**METRICS AND TARGETS**

We follow the WRI/WBSCD GHG Protocol in developing and reporting our Scope 1 and 2 emissions inventory. We report both location-based and market-based scope 2 emissions. Our reported emissions are independently assured by DNV GL. Further, both our emissions and our targets for reductions were validated by Science Based Targets in 2018.[6] Recognizing the importance of reducing the Company's greenhouse gas impact on the environment, we have committed to establishing carbon neutral operations by December 31, 2020. More information on this announcement below. For scopes 1 and 2, this exceeds our carbon reduction goals previously validated by Science Based Targets, which was a 72% reduction across scopes 1, 2 and 3 by 2050. We anticipate that approximately 25% of this reduction will be created through the use of renewables and the remainder through other carbon reduction activities.

[6] Science Based Targets is a collaboration between the Carbon Disclosure Project, the United Nations Global Compact, the World Resources Institute and the World Wide Fund for Nature, which independently assesses and approves the carbon reduction goals of companies.




JOHN KILROY MAKES CARBON NEUTRAL OPERATIONS ANNOUNCEMENT AT THE GLOBAL CLIMATE ACTION SUMMIT





## Carbon Neutral Operations Commitment

We announced at the Global Climate Action Summit (GCAS) that we commit to establishing carbon neutral operations by year end 2020. GCAS brought together the world's climate leaders to launch deep environmental commitments and accelerated action from cities, states, businesses and investors. We believe that ours was the most meaningful climate commitment made at the Summit from the American real estate sector.

Our CEO John Kilroy made the announcement in the opening remarks of the Sustainable Communities track at GCAS, which featured government leaders and real estate developers from Europe, Africa and Asia. "KRC has a longstanding commitment to sustainability because it is the right thing to. Our sustainability programs have been and will continue to be positive for our bottom line, promoting tenant and employee satisfaction, reducing operating cost and making our buildings more resilient to whatever may lie ahead," said Mr. Kilroy in his remarks.

Achieving carbon neutral operations will involve three steps for us. First, we will continue to reduce the energy consumption of our stabilized properties and entire announced development pipeline through maximizing onsite energy reductions. Second, we will continue to take advantage of all onsite solar and battery installation opportunities. Finally, we will make the remainder of the energy consumption 100% renewably powered by adding capacity to the grid through an offsite energy power purchase agreement, executed in 2018.

Through these programs, KRC will reach Scope 1 (direct emissions from onsite combustion of natural gas) and Scope 2 (indirect emissions from onsite consumption of electricity) carbon neutrality by the end of 2020, exceeding our carbon reduction goals previously validated by Science Based Targets (see page 27).

# GLOBAL REPORTING INITIATIVE

## GRI 102: GENERAL DISCLOSURES

| GRI Standard | Disclosure | | Externally Assured | Page # or Link |
|---|---|---|---|---|
| General Disclosures | 102-1 | Name of the organization | | 14 |
| General Disclosures | 102-2 | Activities, brands, products, and services | | 14 |
| General Disclosures | 102-3 | Location of headquarters | | 106 |
| General Disclosures | 102-4 | Location of operations | | 14 |
| General Disclosures | 102-5 | Ownership and legal form | | 106 |
| General Disclosures | 102-6 | Markets served | | 14 |
| General Disclosures | 102-7 | Scale of the organization | | 14 |
| General Disclosures | 102-8 | Information on employees and other workers | | 82-83 |
| General Disclosures | 102-9 | Supply chain | | 25 |
| General Disclosures | 102-10 | Significant changes to the organization and its supply chain | | 25 |
| General Disclosures | 102-11 | Precautionary Principle or approach | | 107 |
| General Disclosures | 102-12 | External initiatives | | 110 |
| General Disclosures | 102-13 | Membership of associations | | 106 |
| General Disclosures | 102-14 | Statement from senior decision-maker | | 10-13 |
| General Disclosures | 102-15 | Key impacts, risks, and opportunities | | 27 |
| General Disclosures | 102-16 | Values, principles, standards, and norms of behavior | | 106-107 |
| General Disclosures | 102-18 | Governance structure | | see Proxy Statement **http://investors.kilroyrealty.com/FinancialDocs** |
| General Disclosures | 102-40 | List of stakeholder groups | Yes | 110-111 |
| General Disclosures | 102-41 | Collective bargaining agreements | | 83 |
| General Disclosures | 102-42 | Identifying and selecting stakeholders | Yes | 110-111 |
| General Disclosures | 102-43 | Approach to stakeholder engagement | Yes | 110-111 |
| General Disclosures | 102-44 | Key topics and concerns raised | Yes | 10-13 |
| General Disclosures | 102-45 | Entities included in the consolidated financial statements | | 106 |





| | | | | |
|---|---|---|---|---|
| General Disclosures | 102-46 | Defining report content and topic Boundaries | Yes | 4 |
| General Disclosures | 102-47 | List of material topics | Yes | 117 |
| General Disclosures | 102-48 | Restatements of information | | 123 |
| General Disclosures | 102-49 | Changes in reporting | | 123 |
| General Disclosures | 102-50 | Reporting period | | 123 |
| General Disclosures | 102-51 | Date of most recent report | | 123 |
| General Disclosures | 102-52 | Reporting cycle | | 123 |
| General Disclosures | 102-53 | Contact point for questions regarding the report | | 119 |
| General Disclosures | 102-54 | Claims of reporting in accordance with the GRI Standards | | 123 |
| General Disclosures | 102-55 | GRI content index | | 120 |
| General Disclosures | 102-56 | External assurance | | 118 |

## GRI 201: ECONOMIC PERFORMANCE

| | | | | |
|---|---|---|---|---|
| Economic Performance | 103-1 | Explanation of the material topics and its boundaries | | KRC 10-K **http://www.snl.com/IRWeblinkx/ShowFile.aspx?KeyFile=396760316&Output=HTML&Format=HTML** |
| Economic Performance | 103-2 | The management approach and its components | | KRC 10-K **http://www.snl.com/IRWeblinkx/ShowFile.aspx?KeyFile=396760316&Output=HTML&Format=HTML** |
| Economic Performance | 103-3 | Evaluation of the management approach | | KRC 10-K **http://www.snl.com/IRWeblinkx/ShowFile.aspx?KeyFile=396760316&Output=HTML&Format=HTML** |
| Economic Performance | 201-1 | Direct economic value generated and distributed | | KRC 10-K **http://www.snl.com/IRWeblinkx/ShowFile.aspx?KeyFile=396760316&Output=HTML&Format=HTML** |
| Economic Performance | 201-2 | Financial implications and other risks and opportunities due to climate change | | 23-29 |

## GRI 205: ANTI-CORRUPTION, GRI: ANTI-COMPETITIVE BEHAVIOR

| | | | | |
|---|---|---|---|---|
| Anti-corruption | 103-1 | Explanation of the material topics and its boundaries | | 107 |
| Anti-corruption | 103-2 | The management approach and its components | | 107 |
| Anti-corruption | 103-3 | Evaluation of the management approach | | 107 |
| Anti-corruption | 205-2 | Communication and training about anti-corruption policies and procedures | | 107 |
| Anti-corruption | 205-3 | Confirmed incidents of corruption and actions taken | | 107 |
| Anti-competitive Behavior | 206-1 | Legal actions for anti-competitive behavior, anti-trust, and monopoly practices | | 107 |

| | | | | |
|---|---|---|---|---|
| **GRI 301: MATERIALS** | | | | |
| Materials | 301-2 | Recycled input materials used | | 58 |
| **GRI 302: ENERGY** | | | | |
| Energy | 103-1 | Explanation of the material topics and its boundaries | | 41 |
| Energy | 103-2 | The management approach and its components | | 36-38 |
| Energy | 103-3 | Evaluation of the management approach | | 40-41 |
| Energy | 302-1 | Energy consumption within the organization | Yes | 41 |
| Energy | 302-4 | Reduction of energy consumption | Yes | |
| **GRI 303: WATER AND EFFLUENTS** | | | | |
| Water and Effluents | 103-1 | Explanation of the material topics and its boundaries | | 48 |
| Water and Effluents | 103-2 | The management approach and its components | | 46-47 |
| Water and Effluents | 103-3 | Evaluation of the management approach | | 48-49 |
| Water and Effluents | 303-3 | Water withdrawal | Yes | 47-48 |
| Water and Effluents | 303-5 | Water consumption | Yes | 48 |
| **GRI 304: BIODIVERSITY** | | | | |
| Biodiversity | 304-1 | Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas | | 66 |
| **GRI 305: EMISSIONS** | | | | |
| Emissions | 103-1 | Explanation of the material topics and its boundaries | | 26 |
| Emissions | 103-2 | The management approach and its components | | 23-25, 27-29 |
| Emissions | 103-3 | Evaluation of the management approach | | 26 |
| Emissions | 305-1 | Direct (Scope 1) GHG emissions | Yes | 26 |
| Emissions | 305-2 | Energy indirect (Scope 2) GHG emissions | Yes | 26 |
| Emissions | 305-5 | Reduction of GHG emissions | Yes | 26 |





| | | | | |
|---|---|---|---|---|
| **GRI 306: EFFLUENTS & WASTE** | | | | |
| Effluents and Waste | 306-2 | Waste by type and disposal method | Yes | 52 |
| Effluents and Waste | 306-3 | Significant spills | | 108 |
| **GRI 307: ENVIRONMENTAL COMPLIANCE** | | | | |
| Environmental Compliance | 307-1 | Non-compliance with environmental laws and regulations | | 108 |
| **GRI 404: TRAINING AND EDUCATION** | | | | |
| Training and Education | 404-1 | Average hours of training per year per employee | | 84 |
| Training and Education | 404-2 | Programs for upgrading employee skills and transition assistance programs | | 84 |
| Training and Education | 404-3 | Percentage of employees receiving regular performance and career development reviews | | 84 |
| **GRI 405: DIVERSITY AND EQUAL OPPORTUNITY** | | | | |
| Diversity and Equal Opportunity | 103-1 | Explanation of the material topics and its boundaries | | 81 |
| Diversity and Equal Opportunity | 103-2 | The management approach and its components | | 81 |
| Diversity and Equal Opportunity | 103-3 | Evaluation of the management approach | | 82-83 |
| Diversity and Equal Opportunity | 405-1 | Diversity of governance bodies and employees | | 83 |
| **GRI 406: NON-DISCRIMINATION** | | | | |
| Non-discrimination | 406-1 | Incidents of discrimination and corrective actions taken | | 81 |
| **GRI 413: EMPLOYMENT** | | | | |
| Local Communities | 413-1 | Operations with local community engagement, impact assessments, and development programs | | 65 |

This is our eighth corporate sustainability report and sixth developed in accordance with GRI guidelines. For the first time, this report has been prepared in accordance with the GRI Standards: Core option. For the previous 5 years, we used the GRI G4 standards. The report covers all of our activities, all of which are located in the United States, during calendar year 2018. We publish a corporate sustainability report on an annual basis. The last Kilroy Realty corporate sustainability report was published in April 2018 and covered calendar year 2017. Since our last report, there have been no significant restatements. Since last year's report, we have decreased the square footage of our stabilized portfolio by approximately 3.8% percent, from 13.7 million square feet to 13.2 million square feet. Like-for-like, our occupancy decreased over this period from 94.5% to 94.1%. The external assurance report can be found on page 131. The external assurance provider has used the AA1000 Assurance Standard (08) as the basis of the assurance.

Kilroy Realty Corporation

# GREEN BOND FRAMEWORK

## Introduction:

Kilroy Realty Corporation (KRC)'s goal is to deliver a steady stream of high quality, adaptable and productive work environments for the wide range of industries attracted to the vibrant economic centers on the West Coast of the United States. Because a high quality work environment is one that is sustainably built and operated, our sustainability programs are critical in enabling us to deliver premium product to our rapidly evolving market.

KRC will accomplish this goal by achieving the highest levels of performance in energy and water efficiency, waste management, supply chain management, tenant engagement, human capital development environmental construction, sustainable building operations, green building certifications, materials selection and community involvement. Our objectives in these areas are aligned with the UN Sustainable Development Goals.

KRC has a committee of the Board of Directors known as the 'Corporate Social Responsibility & Sustainability Committee' comprising three directors who make recommendations to the Board on social responsibility and sustainability priorities and policies. In 2018, the Committee endorsed the Task Force on Climate-related Financial Disclosures (TCFD) recommendations because it believes TCFD is the most robust climate change disclosure framework available and will help us define the climate change impacts that will be material to our business.

## Framework Overview:

This Green Bond Framework sets out how KRC proposes to use the proceeds of Green Bonds for the construction of Eligible Green Projects in a manner consistent with our sustainable values and provide the transparency and disclosures investors need to make investment decisions. This framework includes the four core components of the Green Bond Principles:

- Use of Proceeds
- Selection and Evaluation of Eligible Green Projects
- Management of Proceeds
- Reporting

This Green Bond Framework is established in accordance with the Climate Bonds Standard version 2.1. It also adheres to the Green Bond Principles, 2018, issued by the International Capital Markets Association (ICMA.) This framework may, from time to time, be updated and will be applied to any green bond issued by KRC.



## Use of Proceeds:

The proceeds from the issuance of Green Bonds by KRC will be applied to finance investments in property development projects that earn either LEED Gold or LEED Platinum under any of the US Green Building Council (USGBC) Building Design & Construction Rating Systems: Core & Shell or New Construction. The environmental objective of the bond is to finance buildings that have thoughtfully reduced their environmental footprint in accordance with rigorous international standards and our bonds will be aligned with the Climate Bond Standard Sector guidance on Low Carbon Buildings.

## Selection and Evaluation of Eligible Green Projects:

We have chosen to allocate all KRC Green Bonds to LEED Gold and Platinum development projects. We believe that LEED is the correct framework because LEED is the most widely used and recognized green building rating system in the world and it provides a framework to create healthy, highly efficient and cost-saving green buildings. LEED Gold buildings on average use 30% less energy than standard buildings and Platinum buildings use on average 40% less energy than standard buildings and we believe these significant sustainability gains are in line with the goals of the Climate Bond Standard.

With this objective in mind, a feasibility report is prepared prior to embarking on every KRC development project to determine the project's ability to earn a particular level of LEED certification. This is done via a LEED charette conducted prior to the design phase of the project which includes representatives from KRC, the project architect, the project mechanical, electrical and plumbing engineer, the civil engineer and the general contractor. Based on this charette, KRC's Senior Vice President, Sustainability then sets the LEED target for the project.

The KRC Finance team will make an assessment of potentially eligible projects on the basis of the above framework (see "Use of Proceeds") to determine if the proceeds of the Green Bond issuance can be deployed to particular projects. If the criteria are met, Finance would recommend the utilization of proceeds from the bond issuance to respective Eligible Green Projects for approval by the Chief Financial Officer. A project would be excluded if any person on the development, sustainability or finance teams believed that a project was in material danger of not achieving at least LEED Gold certification. Greenfield projects would also be excluded, as would any that would trigger additional social disclosures under the Global Reporting Initiative (GRI) Standard framework. No current project in our development pipeline would be at risk of exclusion under these criteria and since 2014 we have never failed to earn at least LEED Gold on a ground up development project or a major renovation as a result of our aggressive sustainability objectives and robust internal capacity for achieving those objectives.

- Review of information provided to us by KRC on its reporting and management processes relating to the Principles;
- Conduct interviews with the Senior Vice President Corporate Finance, Treasurer and Investor Relations; Vice President Risk Management; Manager Operational Technology; Vice President Corporate, Legal; Senior Coordinator Human Resources and Senior Vice President Sustainability. They are responsible for areas of management and stakeholder relationships covered by the Report. The objective of these discussions was to understand top level commitment and strategy related to corporate responsibility and KRC's governance arrangements, stakeholder engagement activity, management priorities, and systems;
- Assess documentation and evidence that supported and substantiated claims made in the Report;
- Review the specified data collated at the corporate level, including data gathered by other parties, and statements made in the Report. We interviewed managers responsible for internal data validation, reviewed their work processes, and undertook sample-based audits of the processes for generating, gathering, and managing the quantitative and qualitative sustainability data;
- Provide feedback on a draft of the report based on our assurance scope.

In addition, the following methods were applied during the verification of KRC's GHG Scope 1, 2 and 3 emissions:

- Review of documentation, data records and sources relating to GHG emissions assertions and claims;
- Review of the processes and tools used to collect, aggregate and report on all GHG data and information;
- Assessment of environmental information systems and controls, including:
    - Selection and management of all relevant GHG data and information;
    - Processes for collecting, processing, consolidating, and reporting the relevant environmental data and information;
    - Design and maintenance of the GHG information system;
    - Systems and processes that support the GHG information system.
- Performed sample-based audits of the processes for generating, gathering and managing GHG data;
- Examination of all relevant environmental data and information to develop evidence for the assessment of the GHG claims and assertions made;
- Confirmation of whether or not the organization conforms to the verification criteria.

## Opinion

On the basis of the work conducted, nothing came to our attention to suggest that the Report does not properly describe KRC's adherence to the Principles of Inclusivity, Materiality, and Responsiveness. In terms of the reliability of the performance data, nothing came to our attention to suggest that these data and claims have not been properly collated from information reported at operational level, nor that the assumptions used were inappropriate.





## Observations

Without affecting our assurance opinion, we also provide the following observations.

### Inclusivity: the participation of stakeholders in developing and achieving an accountable and strategic response to sustainability.

KRC has demonstrated proactive engagement with stakeholders throughout its business operations and in its value chain. The Report reflects the significant sustainability challenges as well as stakeholder expectations and concerns identified through these formal and informal processes. The company has continued to increase its efforts to engage its suppliers and expand its understanding of corporate responsibility and sustainability risks in its supply chain. In 2018, the company conducted a pilot of its Supplier Social Sustainability Survey with the intent to roll out the survey to all Tier 1 suppliers in 2019. As part of the process to update its objectives related to this issue area, including the related UN SDG #12, DNV GL recommends that the company seek the input of key external stakeholders to validate whether the identified metrics are meaningful and measure the performance that is of interest. This can help KRC ensure that the newly established targets and KPIs are aligned with the company's core business strategy as well as addresses the expectations of stakeholders.

### Materiality: identification of those issues which are necessary for stakeholders to make informed judgments concerning the organization and its impacts.

KRC conducted a materiality assessment in 2018 to confirm the topics covered in the Report. The assessment process is documented and considers inputs from diverse range of sources including external stakeholders and internal business functions, megatrends, financial considerations, and overall sustainability context. The resulting prioritization of material issues has been reviewed by the company's management team. KRC has noted within the Report the issues, such as diversity on the Board and in the company workforce as well as environmental and health impacts of buildings, which have increased in importance from the previous reporting period.

### Responsiveness: the extent to which the organization responds to stakeholder issues

During our review, we found evidence that KRC engages and responds to stakeholders throughout the company's operations and that sustainability is integrated into decision-making process. The Report presents a good overview of how the company has consulted with stakeholders and responded to emerging sustainability issues. In 2018, the company established a Corporate Social Responsibility and Sustainability Committee on the Board. Committee membership includes Board Members with expertise in the issues that have increased in importance to stakeholders.

## Performance Information:

KRC's reporting of performance including the disclosure of data is comprehensive and the indicators are disclosed in a balanced manner. Goals and performance data are presented objectively, with clear and balanced representation of 2018 performance and challenges.

Our review of GHG emissions, energy, waste, and water data presented in the report resulted in minimal technical errors being identified based on our sampling. These errors have been corrected for the final report. The systems for production and collation of these data appear, from our review, to be reliable and capable of producing complete and consistent data.

DNV GL recommends as part of the company's continual improvement in its reporting of carbon emissions, KRC conduct an analysis to determine what percent of operational control, if any, it has in each of the company's indirectly managed assets (across both office and life-science) as it relates to energy consumption and carbon emissions. This will help the company determine the significance of these operations to its Scope 1 and Scope 2 emissions and more clearly define its Scope 3 boundaries.

### Data Verified

The environmental footprint claims for KRC's whole portfolio which includes managed assets, indirectly managed assets, and Life Science assets are listed below. For detail of environmental performance by managed assets, indirectly managed assets, and Life-Science assets, please see page numbers of the Report referenced in the first page of this assurance statement.

***Greenhouse Gas Emissions***

- 2018 Greenhouse Gas Emissions
  - Scope 1 Emissions 3,908 Mt$CO_2$e
  - Scope 2 Emissions (Location-Based) 33,207 Mt$CO_2$e
  - Scope 2 Emissions (Market-Based) 30,439 Mt$CO_2$e
  - Scope 3 Emissions (Downstream Leased Assets) 31,984 Mt$CO_2$e

***Energy***

- 2018 Total Energy Consumption 299,510 MWh

***Water***

- 2018 Total Water Consumption 980,859 $m^3$

***Waste***

- 2018 Waste Generated 8,486 tons





<u>2018 Like for Like: (Buildings are excluded from the like for like portfolio if they were bought or sold within the 2018 or 2017 reporting period, or stabilized in the current reporting period)</u>

***Greenhouse Gas Emissions***

- 2018 Greenhouse Gas Emissions
  - Scope 1 Emissions 3,782 Mt$CO_2$e
  - Scope 2 Emissions (Location-Based) 31,336 Mt$CO_2$e
  - Scope 2 Emissions (Market-Based) 28,568 Mt$CO_2$e
  - Scope 3 Emissions (Downstream Leased Assets) 25,961 Mt$CO_2$e

***Energy***

- 2018 Total Energy Consumption 267,546 MWh

***Water***

- 2018 Water Consumption 850,896 $m^3$

**DNV GL Business Assurance USA Inc.**
**Oakland, California**
**April 5, 2019**

Natasha D'Silva
**Lead Assuror**

Shaun Walden
**Technical Reviewer**

---

The purpose of the DNV GL group of companies is to promote safe and sustainable futures. The USA & Canada Sustainability team is part of DNV GL Business Assurance, a global provider of certification, verification, assessment and training services, helping customers to build sustainable business performance. www.dnvgl.com

AA1000
Licensed Assurance Provider
000-10

WHERE INNOVATION WORKS